Bank chiefs urge Canberra to cut spending to bring rates down

> At a parliamentary inquiry, the heads of ANZ and Westpac argued that high government spending is adding to inflation and keeping interest rates higher for longer.

WHAT HAPPENED

- ANZ's **Nuno Matos** said government spending should be cut, calling the AI data-centre boom an "unprecedented inflation danger".
- He noted Commonwealth spending is at its **highest in four decades** outside the COVID years.
- Westpac's **Anthony Miller** said spending cuts would lead to lower rates once inflation is back in the target band.
- Inflation was **4.3%** in September, the 14th straight month above 2–3%. The latest 25bp hike flows into variable mortgages from Friday.

4.3%
Inflation, September

14
Months above target

4.85%
RBA cash rate

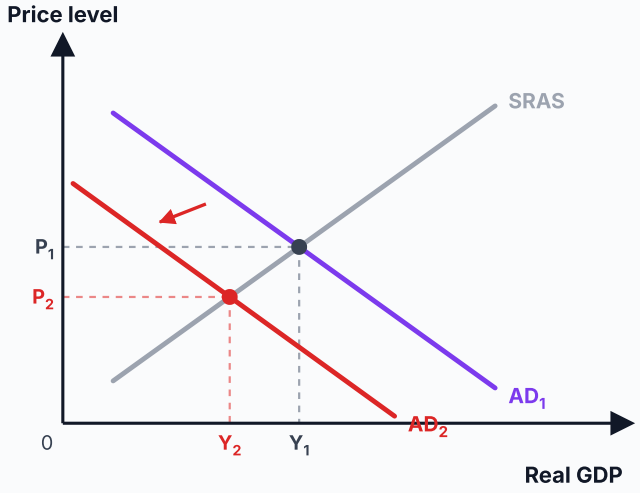
40 yrs
High for spending (ex-COVID)

KEY TERMS

Policy mix – How fiscal and monetary policy are combined.

Contractionary fiscal policy – Cutting spending or raising taxes to slow aggregate demand.

DIAGRAM Spending cuts shift aggregate demand left



Lower government spending (G) shifts aggregate demand from **AD_1 to AD_2**, easing the price level from **P_1 to P_2**.

That would let the RBA lower the cash rate sooner. The short-run cost is lower output (**Y_1 to Y_2**) and possibly higher unemployment.

Exam angle: When fiscal policy is expansionary while monetary policy is contractionary, the RBA must lift rates higher. A coordinated policy mix spreads the burden.

FLOW CHART Cause and effect

Government spending cut → Aggregate demand slows → Inflation eases towards 2–3% → RBA can lower the cash rate

SYLLABUS LINK

Topic 4 – Economic Policies and Management: fiscal policy stance and the policy mix; interaction between fiscal and monetary policy.

TRY THIS (6 marks)

Discuss the view that contractionary fiscal policy would allow the Reserve Bank to lower interest rates sooner.

Sources: The Nightly – Big bank CEOs plead with Labor to cut spending: https://thenightly.com.au/politics/anz-ceo-nuno-matos-and-westpac-chief-anthony-miller-call-for-government-spending-cuts-c-23151576 · ABC News – ANZ boss says global markets in 'dangerous situation': https://www.abc.net.au/news/2026-11-12/anz-boss-says-global-markets-in-dangerous-situation/107377392